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Tencent Holdings Ltd. | Asia Pacific

Hy4 Preview: Earlier and Better

Key Takeaways

- Tencent released Hy4 preview on August 28, earlier than MSe (Sep) with performance comparable to tier 1, via high-quality training data and co-design.
- This is a MoE model with 770B parameters, 49B activated, 1M token context (vs. 295B parameters, 21B activated, 256k-token context for Hy3).
- Tencent Cloud API pricing raised: Rmb0.3/6.0/18.0 per input cache-hit/input cache-miss/output mn tokens (vs. Rmb0.25/1.0/4.0 for Hy3).

Hy4 Preview release was earlier-than-expected: Tencent indicated the release of Hy4 would be within this year during [2Q earnings](#), and we had previously expected Hy4 in [4-Q26](#) (Preview in Sep). We also note faster model iterations with [Hy3 Preview](#) in April and [Hy3](#) in July after Yao Shunyu joined as Chief AI Scientist in 4Q25.

Performance comparable to tier 1 (esp. for models with similar size): Besides benchmarks (Exhibit 1), in Tencent's internal blind evaluations, Hy4 Preview achieved an average score of 2.99/4, slightly ahead GLM-5.3 (2.92/4) and Kimi K3 (2.94/4). In Arena.ai, Hy4 Preview is ranked No. 5 (1,633 pts) in Code Arena: WebDev, after Kimi K3 (1,674 pts), Qwen-3.8 Max (1669 pts) and GLM-5.3 Flash (1,634).

Meaningful productivity gains: Hy4 preview delivers strong improvements across real-world tasks in software, office productivity, game development, and scientific research.

Exhibit 1: Hy4 preview's performance comparable to tier 1



Source: Company data, Morgan Stanley Research

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Tencent Holdings Ltd. (0700.HK, 700 HK)

China Internet and Other Services | China

Stock Rating	Overweight
Industry View	Attractive
Price target	HK\$550.00
Up/downside to price target (%)	21
Shr price, close (Aug 28, 2026)	HK\$455.20
52-Week Range	HK\$683.00-411.00
Sh out, dil, curr (mn)	9,279
Mkt cap, curr (mn)	US\$538,771
EV, curr (mn)	US\$458,191
Avg daily trading value (mn)	US\$1,723

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	24.32	24.76	24.92	25.21
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	27.99	29.64	31.70	34.27
Revenue, net (Rmb bn)	751.8	829.4	908.7	989.6
EBITDA (Rmb bn)	307.6	345.6	388.2	440.9
ModelWare net inc (Rmb bn)	224.8	229.8	231.3	233.9
P/E	22.1	15.8	15.7	15.5
EV/EBITDA	14.2	8.8	7.7	6.5
EV/revenue*	6.8	4.5	4.1	3.6
P/BV	4.3	2.7	2.3	2.0
ROE (%)\$	21.2	19.2	17.6	16.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Tencent Holdings Ltd. (0700.HK)

HK\$550: Base case, sum of the parts.

Core business - HK\$475: DCF (10% discount rate, 3% terminal growth rate)

Associate investments - HK\$75 /share (based on reported book value) and 30% discount applied to investment value.

Risks to Upside

- Solid execution in new game launches, both domestically and overseas
- Market share gain in social and short video ads
- Resilience in social network and online entertainment competition
- 2C AI adoption ramp-up

Risks to Downside

- Gaming industry regulatory uncertainties
- Intensified competition in social networks and ad budget with emerging entertainment formats
- Tightened regulations on antitrust and amid US/China tension

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Tencent Holdings Ltd. (0700.HK) - As of 08/28/26 GMT in HKD
Industry : China Internet and Other Services



Stock Rating History: 8/1/21 : O/A; 9/20/21 : O/I; 2/24/25 : O/A

Price Target History: 7/15/21 : 720; 8/19/21 : 700; 9/20/21 : 650; 1/18/22 : 600; 3/21/22 : 520; 3/24/22 : 480; 5/19/22 : 450;
8/18/22 : 400; 10/11/22 : 350; 11/17/22 : 360; 1/9/23 : 420; 2/8/23 : 450; 11/16/23 : 430; 3/21/24 : 400; 5/15/24 : 450;
9/26/24 : 480; 10/8/24 : 570; 1/15/25 : 550; 3/20/25 : 630; 7/14/25 : 650; 8/14/25 : 700; 11/14/25 : 735; 3/19/26 : 650;
8/13/26 : 550

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/27/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$22.55
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.77
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$28.49
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$18.00
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$17.73
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$84.69
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$13.47
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$116.31
Baidu Inc (BIDU.O)	U (08/19/2026)	US\$96.94
Meituan (3690.HK)	O (08/29/2024)	HK\$77.50
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$455.20
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.16
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$0.92
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$74.83
Weibo Corp (WB.O)	U (05/17/2024)	US\$6.98
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$16.77
Kuaishou Technology (1024.HK)	E (08/20/2026)	HK\$33.46
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$122.69
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$12.13
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$44.61

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* Historical prices are not split adjusted.

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